

# CASH FROM TRASH

With waste management proving profitable the world over, Indian entrepreneurs look at rubbish as a resource to build new businesses

■ By Nandini Vaish

**T**he shiny, freshly-painted exterior of The Ideas Company (TIC) in Noida is quite a contrast to its interior, where cartons of broken computer monitors, printers and printed circuit boards (PCBs) lean against the walls. Men and women in fluorescent safety jackets tear computers apart with hammers and electric drills. There is 'e-waste' all around. Yet, unlike many of its peers, TIC is clean and organised. Its 22-year-old CEO Pranav Tripathi walks around ensuring all the components are in the right boxes. The PCBs are shipped to Belgium, Japan and Malaysia for precious metal extraction while the wires are sent to Singapore. "It may not be a fun job," says Tripathi, "but somebody's got to do it."

There is cash in trash and many entrepreneurs like Tripathi are getting their hands dirty. As there is a strong co-relation between a country's GDP and the municipal solid waste it generates (owing to higher consumption), developing economies like India and China are confronted with an enormous waste management problem that puts a strain on municipal resources towards the handling of the ever-increasing waste.

India's generation of e-waste alone touched 3.3 lakh tonne last year, while an additional 50,000 tonne was illegally imported, according to a study by the Manufacturers Association for Information Technology (MAIT) and GTZ, a German agency working on sustainable development. Thanks to the rapidly-growing IT and BPO industries, e-waste generation could well hit 4.7 lakh tonne by 2011. And that is only mobiles, desktops, notebooks and TV sets. For companies like TIC—which

started operations in January and recycles 4,000 computers a month—it is a goldmine. Tripathi recently bagged the licence for bonded areas, which means he will have access to e-waste from call centres, ISPs and export-oriented units that cannot be sold in the local market due to customs regulations. He expects to rake in Rs 3-4 crore in revenue in his first financial year which is likely to double the following year. Unlike in other countries, Indian companies are not mandated to pay for recycling their products, therefore TIC's revenues come from fixing and re-selling what is salvageable and then selling the waste. The company which rakes in over 30 per cent profit makes an average of Rs 500-700 on a com-

